

> **"SEBI HAS STRONG INSTITUTIONAL MECHANISMS.... ACCORDINGLY, ALL DISCLOSURES AND RECUSALS HAVE BEEN DILIGENTLY FOLLOWED, INCLUDING DISCLOSURES OF ALL SECURITIES HELD OR SUBSEQUENTLY TRANSFERRED"**
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> **–MADHABI PURI BUCH** Chairperson, Sebi

when Buch was a whole-time member of Sebi and later its chairperson, she held a 100 per cent stake in Agora Partners, a Singaporean consultancy firm, in violation of Sebi's code of conduct.

While Buch has denied these allegations, the controversy is unlikely to fade away, with the opposition Congress demanding a probe against her. The party recently accused Buch of holding an office of profit at ICICI Bank and receiving an income of Rs 16.80 crore between 2017 and 2024, after she became a full-time member of the market regulator. ICICI Bank denied these allegations, saying those were post-retirement benefits that were due to Buch. The Congress also alleges that pharma company Wockhardt, which Sebi was investigating in several cases, made rental payments of Rs 2.16 crore to her through its affiliate, Carol Info Services Ltd, raising concerns of potential conflict of interest. Wockhardt has termed these allegations "completely baseless and misleading".

Sharpening the air further is the growing disquiet among the staff at Sebi, with its officers staging a demonstration at its head office in Mumbai's Bandra Kurla Complex on September 5. They complained of a "toxic" work culture at the organisation and frequent reprimands at internal meetings. Meanwhile, Subhash Chandra, founder of Zee Entertainment Enterprises, has accused Buch of bias, corruption and unethical behaviour. In a statement, Chandra claimed that Buch, in her previous role as a whole-time Sebi member in January 2019, was part of a group that aimed to harm his business interests. There are also reports that the Public Accounts Committee of Parliament is planning to look into the allegations against the Sebi chairperson and is likely to summon her for questioning.

A GROWING DISQUIET

Amidst the controversy, the chorus for her to step down has only grown. "With each passing day, more and more instances of non-transparent and suspicious happenings related to Madhabi Puri Buch are emerging," S.C. Garg, former finance secretary, told INDIA TODAY. "The credibility and integrity of the chairperson is now suspect. Many Sebi officers have lost confidence in their board, which explains their public protest." According to him, there are only two options before Buch now. "She should either offer a complete disclosure of all her dealings and submit to an independent inquiry, which will restore the credibility and independence of Sebi, or step down." The accusations come at a time when the Indian stock market is one of the best-performing in the world. The benchmark Sensex and Nifty are trading near their all-time highs. However, these claims against the Sebi chief could discredit the market regulator, potentially dampening investor appetite in the long run, according to market-watchers.

Early in her career, Buch was keen on making an impact in whichever field she chose. Soon after completing her MBA from IIM Ahmedabad, she worked for a year with an NGO before accepting an offer from ICICI, which was then

A MAZE OF ALLEGATIONS

- US short-seller Hindenburg Research, on August 10, accused Buch and her husband Dhaval Buch of having investments in offshore funds with alleged links to the Adani Group, which Sebi had been probing
- It also alleged that Sebi supported real estate investment trusts (REITs) at a time when Dhaval became an advisor to Blackstone, one of the largest investors and sponsors of REITs in India
- Hindenburg claimed that from April 2017 to March '22, when Buch was a whole-time Sebi member and later its chairperson, she held 100 per cent stake in Agora Partners, a Singaporean firm, in violation of Sebi's code of conduct
- The Congress has accused Buch of holding an office of profit at ICICI Bank and receiving an income of Rs 16.80 crore between 2017 and 2024
- It has also alleged that Wockhardt, which was being probed by Sebi, made rental payments of Rs 2.16 crore to the chairperson through its affiliate. The pharma company denies the charge
- The party has alleged that, despite Buch's claim that her firm Agora became dormant after she took office, it generated Rs 2.95 crore in revenue between 2016 and 2024, including from the Mahindra Group. Mahindra has clarified that payments to Dhaval were for supply chain services, with no preferential treatment sought from Sebi
- There is a growing disquiet at Sebi; its officials staged a demonstration at the head office on Sept. 5 complaining of a "toxic" work culture